the informal sector more formal, it pushed more workers into the informal sector. A six-month field study undertaken by the Centre for New Economic Studies at O.P. Jindal Global University concluded that while destroying informal markets, demonetization also led to rising informalization.[42]

The study observed, 'Demonetization had hardly any impact in formalising the regulatory process of cash-based transactions across the identified market arrangements. On the contrary, the short- to medium-term impact of the announcement caused a massive drop in market activity, affecting the economic livelihoods of most trading merchants. As a radical economic reform intended to curb the black economy, demonetization can be seen as a major epistemic failure.'

In a thoughtful article in May 2017, titled 'Is Informal the New Formal', Prof. Himanshu[43] summarized the problem:

> One of the issues that continue to haunt the Modi government after three years of rule at the Centre is the problem of job creation. By all estimates, the economy has seen a deceleration in the pace of employment creation with actual employment generation in the economy not even a fraction of the estimated 20 million jobs that need to be created every year as per government's own commitment… Between 2004–05 and 2011–12, net addition to jobs in the economy was 14 million, the bulk of which was in the informal sector… So, how should one deal with the large informal sector, without killing the golden goose? *The best way is to recognize that the informal sector is the new normal*… what is needed is to upgrade the skills of those who are already in the informal sector with government support through easier access to credit, technology and availability of markets.

So, while it is clear that demonetization did not succeed in meeting the Finance Minister's objective of 'Integrating the informal economy into the formal sector and creating a "larger and cleaner" GDP', the question that arises is, was this even a desirable objective?

Instead of focussing on making the life of those working in the informal sector easier, better, and more secure – the 'Achhe Din' promised by the Prime Minister – demonetization brutally targeted the informal sector, destroying livelihoods and causing untold misery.

By not understanding how closely integrated the informal and formal economies were, the architects of demonetization dealt a fatal